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Capitalism in the Age of the Internet

The creation of the Internet has remarkably altered how we interact with each other and our environments. No longer does one have to wait in line at a brick-and-mortar store, compose a letter by hand, or wait for scheduled programs on the radio. Technological advancement now allows privileged populations to have virtually any needs and wants met almost instantaneously. Whether this is an overall positive or negative for society entirely depends on who is asked. Some say the human race is being launched to previously unfathomable heights, while others argue society is gradually becoming digitalized zombies. Regardless of the answer, that conversation tends to distract from an arguably more significant one: who is shaping the development of the Internet, and by proxy, of humanity? The answer is complex, but as with all things, it comes down to who—or what—has the funds to pay their way to power.

The Internet is often casually thought of as an open, opportunistic online space made for the general public's benefit. The beauty of it is no one entity or individual owns the Internet; in the most idealistic characterization, the Internet is a free-for-all forum and a wealth of opportunity for anyone with access. In some aspects, this is true. The crucial misconception here is that since no one owns the Internet, no one controls the Internet. In reality, online space is not immune to existing power structures, and the fact that the general public believes it is makes it that much more susceptible. While it is correct that no one owns the Internet as a whole, the

digital spaces that make up the Internet are indeed owned by corporations. These corporations are modernly referred to as Big Tech.

There is no one agreed-upon definition or list of Big Tech, but the term generally refers to the most influential businesses that provide Internet services. Each has its niche: Alphabet (or more familiarly, Google) focuses on search functions, Amazon and Alibaba are known for their E-commerce and cloud work, Meta (also known as Facebook) and Tencent control most social network and entertainment space, and Apple, Microsoft, and Alphabet work on operating systems. Alibaba and Tencent are not always considered a part of Big Tech definitionally because they are based in China, but their role on the Internet is just as significant. Other firms also hold stock in these areas, but these are generally recognized as the most powerful and far-reaching of them because of their tremendous scope in the market (Klinge). Given the vastness of the Internet, it's notable that the firms that predominantly control the Internet can be broken down into a loose list of seven, and speaks to how prone the Internet is to conglomeration.

At the most basic level, Big Tech have come to hold such power over online space because they provide their range of services through platforms. The term platform refers to the digital space where online dealings occur and interactions are facilitated between users, which is exactly the purpose of Big Tech companies. The term "platform capitalism," termed by Nick Srnicek in his book titled as much, describes this modern development of traditional capitalism based on the new power of these companies. By nature, platforms collect exponentially-increasing numbers of users: the more people who use a platform, the more relevant it is. Social media is probably the most obvious example of these network effects. If

everyone you know has an Instagram account, it is likely that you too will make an Instagram account to stay in the loop. Functioning on platforms is Big Tech's most competitive advantage.

This broad user base is so important because more users means more data, and data is the lifeblood of Big Tech. Data itself does not have any value, so it is not the physical collection of it that is so crucial. Rather, the value is what gets done with the data. Machine learning requires massive amounts of data to produce algorithms that can utilize past user behavior to extrapolate future actions. This is how targeted advertising or the suggested sections of content websites works. It "allows advertisers to influence consumer behavior on an increasingly granular and intimate level, further skewing the power imbalance between advertisers and consumers" (Claxton 1187). For instance, a company collecting data on a particular user knows their screen lingered on a leather bag for fifteen minutes, so they are going to advertise more leather bags to that user. They know a different user watched a video of cats four times in a row, so they're going to show that user more options for cat videos. Consumer data is practically invaluable; even if the company itself is not using the data they are collecting, that data can still be sold to a different company to use.

This data collection is a crucial part of the control that platforms allow Big Tech to have over the Internet. Though "often presenting themselves as empty spaces for others to interact on, they [platforms] in fact embody a politics. The rules of product and service development, as well as marketplace interactions, are set by the platform owner" (Srnicek 33). Since Big Tech companies own the platforms where one is shopping or seeing content, they are allowed to record the data from that and use it how they please. That data allows companies to have an intimate knowledge of their consumer base like never before. They know with unnerving precision what kind of products should be pushed on what kind of consumers because they have

so many data points. It's an incredibly powerful position to be in: having control of digital space with an exponentially growing user base while collecting infinite data points on each and every consumer's behavior. This has allowed for the growth of Big Tech companies, or perhaps more aptly termed "data-driven intellectual monopolies" (Rikap & Lundvall). This use of advanced technology to make incredibly successful business models based on the collection and manipulation of consumer data from platforms marks a monumental shift from traditional capitalism to platform capitalism.

While the technology of data extraction gets more and more sophisticated, it is important to note that never before has there been such knowledge inequality between consumer and producer. Another term has been coined for this emerging version of capitalism by expert Shoshana Zuboff: surveillance capitalism. It seems Big Brother-esque, but it is true that consumers' every move on the Internet is quite literally being surveilled and recorded for profit. This has led to concerns about financial manipulation of consumers. Behavioral discrimination, a modern form of price discrimination, is when consumer data surrounding emotions and biases are used to push specific products on consumers at the right time to increase corporate profits. Another financial manipulation concern is price steering, which is when websites adjust what an individual sees depending on their consumer profile. Customers that have historically bought brand names may be shown more expensive products before the lesser ones: literally being "steered" towards products that benefit the firm to sell. This is accomplished by self-learning algorithms that "refine the crude divisions of yesteryear (such as senior citizens and students) to a more detailed, segmented reality, where people are matched to groups with similar price sensitivity and purchase behavior" (Ezrachi and Stucke 101). Consumers actually get different versions of the Internet depending on what the algorithms have determined about them. While

corporations have always manipulated consumer biases to sell products, some would say the scope big data extraction allows for makes it akin to exploitation.

The Internet today is not only changing the capabilities of corporations to monopolize and shifting the dynamic between consumers and producers. It is also changing the very definition of industry. The gig economy is an emerging employment arrangement characterized by independent contracting mediated through a platform where clients with a specific need get connected to workers with a specific skill (Woodcock and Graham). Proponents of the gig economy exalt the freedom and flexibility it allows gig workers, but opponents argue the gig economy sacrifices worker conditions towards the end of profit for corporations. It puts the platform doing the mediating in a much better position than the workers because the nature of it “maximizes platforms’ control over workers and minimizes platforms’ responsibilities and obligations when problems arise” (Yin Liang). Unionization for platform workers or sufficient regulation that would provide a support system for gig workers could help with this issue.

However, the gig economy on the scale of the Internet is a very new, non-mainstream method of employment. Awareness from both the public and the government is low. That being said, increased awareness and new legislation could mitigate some of the power imbalance between platform owners and workers. Other critiques of the gig economy are institutional; though often presented as an option for extra money on the side for households, many people would benefit from being able to rely on this non-traditional avenue of work as a main income. These groups could include migrants, single parents, disabled people, and more, yet because of the lack of regulation that benefits firms’ overall profit methods, it cannot be regarded as a stable job market (Van Doorn). Though in concept the gig economy could benefit the masses, the general commodification of human labor is a concerning trend that platforms have normalized.

The fundamental issue with the way the Internet is shifting capitalism is that people don't understand that it is happening. Users of the internet are inadvertently producing a good (in other words, their personal data) for producers simply by using any of the producers' services. Producers turn around and use that consumer data to financially manipulate consumers and workers. These issues—targeted advertising, data extraction, price steering, behavioral discrimination, and the redefinition of industry—take place under the surface of the Internet. They're purposefully built so deeply into the user experience that users barely take note of the highly curated experience they're getting. This begs a moral question: is it fair for corporations to use our data in this way? Data was an untapped resource discovered by technological advancement, and keeping up with capitalism often demands new resources be exploited. The argument from proponents of big data extraction is that there is an exchange of sorts: consumers and workers get to benefit from a wide array of Internet services mostly free of charge and in return providers get their data. Opponents argue that at the extreme this turns human activity into a constant source of free labor for firms, and at the very least the practice “unilaterally claims human experience as free raw material for translation into behavioral data” (Zuboff).

With modern technology comes an abundance of invaluable steps forward for humanity. The creation of the Internet undoubtedly began an era of advancement and knowledge that was previously unfathomable. But with that has come “an opportunity...to make the exposure of personal data on the Internet the default, to control, direct, and monopolize attention, and also to manipulate the thoughts, beliefs, and actions of individuals” (Mertzani and Pitt). The development of platform capitalism is actively paving the way for corporate conglomeration like never before. It is introducing the exploitation of our actions in digital space and redefining industry at the expense of workers. Most significantly, it is shifting social power further and

further from the common man, yet the public hasn't caught on quite yet. Despite the allure of social media and online shopping, there is no excuse for ignoring the darker underbelly of the Internet.

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